

SEBI HYBRID CATEGORIES

Sub-Category	Broad mandate for the category
Arbitrage Fund	• Minimum 65% in equity and equity-related instruments following a hedging strategy
Conservative Hybrid Fund	• 10–25% in equity and the rest in debt
Equity Savings Fund	• Minimum 65% gross equity, at least 10% in debt, and a disclosed hedged portion
Balanced Advantage Fund	• Dynamic equity–debt allocation, no limits
Multi-Asset Fund	• Minimum three asset classes, at least 10% in each
Aggressive Hybrid Fund	• 65–80% in equity, the rest in debt
Balanced Hybrid Fund	• 40–60% in equity, the rest in debt (for AMCs that don't launch aggressive hybrids)

SOURCE VALUE RESEARCH

HYBRIDS DELIVER A BIT LESS THAN PURE EQUITY SCHEMES

Category	Avg Return
● Equity: Small Cap	23.96
● Equity: Mid Cap	20.93
● Equity: Large Cap	15.11
● Hybrid: Aggressive Hybrid	14.21
● Hybrid: Multi Asset Allocation	13.98
● Hybrid: Dynamic Asset Allocation	12.42

NOTE RETURNS OF PAST ONE YEAR IN %, AS ON SEPTEMBER 30, 2025 **SOURCE** VALUE RESEARCH

DAAFs, or balanced advantage funds, for retail investors. Dynamic funds, especially balanced advantage and DAAFs, are more flexible. They tweak allocations based on valuation models, buying more equities when markets look cheap and trimming them as valuations rise.

“Dynamic allocation strategies were built to reduce volatility and behavioural mistakes,” says Chintan Haria, Principal Investment Strategist at ICICI Prudential AMC. “But investors should remember: no two balanced advantage funds use the same model. The outcomes can vary widely depending on how aggressively each fund moves.”

THE 65% EQUITY RULE

In hybrid investing, taxation revolves around a single number: 65% equity exposure.

Funds with at least that much equity enjoy equity-style taxation—20% on short-term gains (under 12 months) and 12.5% on long-term gains (beyond ₹1.25 lakh). Anything below, and the fund is taxed like a debt fund, with gains added to income and taxed as per slab.

Sunil Jhaveri, founder of MSJ MisterBond, simplifies the hybrid universe for retail investors. He says there are only two truly relevant segments—balanced advantage (or dynamic asset allocation) and multi-asset funds. Even the FoFs that follow these principles can work, but that's a choice best made with an advisor. “BAF is like the *aloo* (potato), a staple. It buys low, sells high, and gives a smoother ride.”

WHEN BALANCE BLURS

The variety within hybrids can create overlaps. Many investors hold multiple hybrids, say, an aggressive hybrid, a balanced advantage, and a children's fund from different AMCs believing they're diversifying. In reality, most own the same large-cap stocks, which means more concentration, not diversification.

“The illusion of diversification is real,” says Shah. “Three hybrid funds can easily end up holding identical top-10 stocks. Investors must use portfolio overlap tools or work with a professional. Or, they multiply exposure, not safety.”

Even labels can mislead. Conservative-sounding funds can carry credit risk in their debt portfolios. Retirement funds, for ex-